

ANNOUNCEMENT OF THE AUDITED RESULTS FOR THE YEAR ENDED 30TH JUNE 2025

The Directors of East African Portland Cement PLC are pleased to announce the audited results for the year period ended 30th June 2025

Condensed Statement of Comprehensive Income for the year ended:

	30th June 2025 Sh' 000	30th June 2024 Sh' 000
Revenue	7,083,567	3,279,053
Cost of Sales	(6,040,216)	(4,056,504)
Gross Profit/(Loss)	1,043,351	(777,451)
Other Operating Income	1,414,578	87,878
Administration and Selling Expenses	(822,658)	(1,182,437)
Profit/(Loss) from Operating Activities	1,635,271	(1,872,010)
Interest Income	111	-
Finance Costs	-	(427)
Fair Value Gain on Investment Properties	3,896,215	3,033,462
Profit Before Tax	5,531,597	1,161,025
Tax Credit	(6,287)	(4,471)
Profit After Tax	5,525,310	1,156,554
Other Comprehensive Income	7,699,441	93,598
Total Comprehensive Income	13,224,751	1,250,152
Earnings Per Share	61.39	12.85

Condensed Consolidated Statement of Financial Position as at:

	30th June 2025 Sh' 000	30th June 2024 Sh' 000
Assets		
Non-current assets	42,662,263	28,445,612
Current assets	7,651,029	6,743,038
Total assets	50,313,292	35,188,650
Equity and Liabilities		
Total equity	33,637,986	20,503,238
Non current liabilities	5,242,705	1,951,495
Current liabilities	11,432,601	12,733,917
Total liabilities	16,675,306	14,685,412
Total equity and liabilities	50,313,292	35,188,650

Condensed Consolidated Statement of Cash Flows for the year ended:

	30th June 2025 Sh' 000	30th June 2024 Sh' 000
Cash flow Generated/(Used in) operations	242,656	(2,966,462)
Net Interest Paid	(782)	(487)
Cash Generated From/(Used in) Operating Activities	241,874	(2,966,949)
Net Cash Generated from/(Used in) Investing Activities	535,109	2,929,510
Net Cash Used in Financing Activities	(113,918)	(8,276)
Net Increase/(Decrease) in Cash and Cash Equivalents	663,065	(45,655)
Cash and Cash Equivalents as at 1st July 2024	20,758	66,413
Cash and Cash Equivalents as at 30th June 2025	683,823	20,758

Condensed Consolidated Statement of Changes in Equity as at:

	30th June 2025 Sh' 000	30th June 2024 Sh' 000
Share Capital	450,000	450,000
Share Premium	648,000	648,000
Asset Revaluation Reserve	7,803,376	103,935
Retained Earnings	24,352,354	18,917,047
Other Reserves	384,256	384,256
Total Equity	33,637,986	20,503,238

OPERATING CONTEXT:

The overall construction input price index grew by 0.58% year-on-year to close at 119.75 at the backdrop of a 1.21% year-on-year increase in the construction materials price indices. In material-specific indices, cement index, which has the highest material contribution (7.41%) in construction cost index, grew by 5.53 %.

While the country cement consumption dipped by 7.94% year-on-year in 2024, there are signs of recovery in 2025, with the first quarter recording a 20.69% growth year-on-year accruing from the easing cost of credit and resumption of public projects.

OPERATIONAL PERFORMANCE:

This year marked a significant production milestone in our recent history, recording a triple-digit year-on-year growth in clinker production (121%) and a double-digit year-on-year growth in cement production (96%), buoyed by operational discipline, enhanced capacity utilization of our key installations, and optimal stakeholder management ensuring support across the value chain.

FINANCIAL PERFORMANCE:

The company revenue surged by 116% year-on-year to close at Kshs 7,084 billion driven by improved and consistent cement production, effective pricing strategies, and strong demand recovery in our key market segments. Our gross profits and profits from operations recorded a year-on-year growth of 234% and 167% respectively, reflecting our relentless focus on cost optimization, operational efficiency, and value creation. The company assets registered a 43% year-on-year growth to close at Kshs 50.313 Billion driven by the fair-value recognition of the company's leasehold properties which previously were held at cost.

OUTLOOK:

As we look to the future, we remain confident in the strength of our business, driven by our investment in the plant, people and culture, and the abundant growth opportunities in the Market. These investments resulted in achieving a near full capacity in the first quarter of the current financial year. The immediate strategy is to expand capacity and diversify revenue which will be funded by proceeds from liquidation of non-core assets. As we strive to stand as a symbol of industrial excellence in the region, we remain committed to driving sustainable business growth and maximizing value for our stakeholders.

DIVIDENDS:

Reflecting on the company's performance, the board of directors recommend the payment of a dividend of Kshs 1.25 per ordinary share

BY ORDER OF THE BOARD
ROSELINE OMINDE
18TH JUNE 2026

